IPO INVESTMENT THESIS

Jio Platforms Limited

India's largest-ever public listing, priced somewhere between a telecom carrier and a digital platform — and the DRHP tells you exactly how wide that gap is

15.8%	51.9%	0.4x	524.4mm	$96-171bn	₹987-1,761
REVENUE CAGR FY24-26	FY26 EBITDA MARGIN	NET LEVERAGE	CUSTOMERS	IMPLIED EV RANGE	IMPLIED PRICE/SH.

THE CALL

Conditional Subscribe. Jio Platforms is, by DRHP-disclosed numbers, one of the highest-quality large-scale businesses to list in India in years — 51.9% EBITDA margins, 0.4x net leverage, and profit growing faster than revenue. The open question isn't business quality; it's whether the eventual price band asks investors to pay for a telecom company or a technology platform. Our own comparable-company work puts fair value at roughly $130bn (₹1,335/share) on a blended basis, with a defensible range of $96-171bn depending on how much platform premium the market is willing to underwrite. **Below ~₹1,335/share, this is a clear subscribe. Above ~₹1,600/share, you are underwriting execution on a digital-platform story that the DRHP gestures at but does not yet prove out in the numbers.**

THE BUSINESS

Jio Platforms is the holding entity for Reliance Jio Infocomm Limited (RJIL), India's largest digital connectivity operator by customers, and the Jio digital-services ecosystem layered on top of it. As of March 31, 2026, Jio served 524.4 million total customers, held a 49.95% share of India's wireless broadband market and a 42.60% share of the fixed broadband market, and carried ~1.4x the 4G+5G subscriber base of the next-largest player. It was the first operator in India to launch a standalone 5G network and, with 268.5 million 5G subscribers, has the largest 5G base outside China.

The DRHP proposes a fresh issue of up to 270,000,000 equity shares (₹10 face value each) — no offer for sale, meaning the promoter, Reliance Industries Limited (which holds 66.43% of pre-Issue equity), is not selling a single share. Up to ₹275,000mm of the net proceeds is earmarked to prepay RJIL borrowings, with the balance (capped at 25% of gross proceeds) for general corporate purposes. That prepayment lands almost exactly on the company's ₹275,792mm FY26 net debt figure — this IPO is not a rescue financing; it is a scale-and-liquidity event for an already self-funding business.

WHY IT WORKS

- **Category leadership across every metric that matters.** #1 in wireless broadband (49.95% share), #1 in fixed broadband (42.60% share, and capturing 67.56% of all FY26 net additions — more than double Bharti Airtel's 30.97%), and the world's largest 5G base outside China. This isn't share leadership in a niche; it's leadership across the entire connectivity stack.
- **Margins expanding while the company keeps growing double digits.** EBITDA margin moved from 50.2% (FY24) to 51.9% (FY26) even as revenue grew at a 15.8% CAGR. PAT grew faster than either — an 18.4% CAGR — a sign of genuine operating leverage, not just top-line momentum.
- **A balance sheet the IPO all but finishes cleaning up.** Net leverage has already fallen from 0.9x (FY24) to 0.4x (FY26); the ₹275,000mm debt prepayment from IPO proceeds takes net debt to roughly zero. Note the nuance: gross borrowings were ₹707,810mm as of FY26 (against a ₹432,018mm cash/investment cushion) — "near-zero net debt" is not the same as "debt-free," but the trajectory is genuinely de-risking.
- **Optionality the multiple doesn't have to pay for yet.** AI, cloud, enterprise digital services and the broader MyJio ecosystem are all called out in the DRHP as growth vectors, but none of them show up as a standalone, disclosed revenue line the way a pure digital-platform business would. That's the premium the market is being asked to pre-pay for — not what's already in the P&L.
- **Structural moat in spectrum and infrastructure.** RJIL's unified telecom licence runs to October 2033 and the bulk of its spectrum holdings are valid to 2041-2042 — a long runway before the next major capital or regulatory event on that front.

FINANCIAL SNAPSHOT (RESTATED CONSOLIDATED, DRHP)

₹mm unless stated	FY2024	FY2025	FY2026
Revenue from Operations	1,095,581	1,282,184	**1,468,853**
EBITDA	549,587	641,700	**762,554**
EBITDA Margin	50.2%	50.0%	**51.9%**
Profit After Tax	214,232	261,090	**300,491**
PAT Margin	19.6%	20.4%	**20.5%**
Net Debt	484,400	452,734	**275,792**
Net Leverage (Net Debt/EBITDA)	0.9x	0.7x	**0.4x**
Basic EPS (₹)	23.96	29.21	**33.63**
Return on Average Net Worth	8.02%	8.97%	**9.42%**

VALUATION: THE TELCO-VS-PLATFORM DEBATE

Bharti Airtel — the only meaningful listed comparable — trades at ~11.9x EV/EBITDA and ~35.9x trailing P/E. Applying that multiple unadjusted to Jio's FY26A EBITDA of ₹762,554mm implies an enterprise value of just ~$96bn (₹987/share) — our bear case. But reported banker and analyst valuations sit meaningfully higher: Goldman Sachs' scenarios span $98-154bn, Jefferies and JM Financial have floated $136-180bn and ~$153bn EV respectively, and ICICI Securities has pegged ~$148bn on an FY27E basis. The midpoint of that street range implies 16-22x EV/EBITDA — a 1.3-1.9x premium to Bharti Airtel that only makes sense if Jio is priced as a digital platform, not a carrier.

Scenario	EV/EBITDA	Implied EV	Issue Price (₹)	Post-Money Mkt Cap
Bear — telco-only (Bharti multiple)	11.9x	$95.9bn	**₹987**	$95.8bn
Base — blended platform premium	**16.0x**	**$128.7bn**	**₹1,335**	**$129.5bn**
Bull — street 'peak' scenarios	21.0x	$168.9bn	**₹1,761**	$171.0bn

The counter-case for paying the premium: Jio's core EBITDA margin (51.9%) is actually below Bharti Airtel's comparable India business ex-passive-infrastructure (58.55%) — so the premium isn't being justified by superior current profitability. It has to be justified by growth durability, digital-services optionality, and scarcity value as India's largest-ever float. That is a legitimate bet, but it is a bet, not a number already sitting in the P&L.

KEY RISKS (FROM THE DRHP, NOT GENERIC BOILERPLATE)

- **Licence and spectrum are long-dated but not indefinite.** RJIL's unified licence is up for renewal in October 2033; the bulk of spectrum expires 2041-2042. Renewal, rollout obligations, and future auction costs are all at the regulator's discretion, not RJIL's.
- **The “Jio” brand is shared, not owned by the listing entity.** Trademark is owned by the Promoter and also used by JioMart/AJIO (Reliance Retail), Jio Finance (a separately listed company) and JioHotstar. Reputational events at any of these — outside Jio Platforms' control — can spill over.
- **Critical infrastructure sits with Reliance-affiliated entities, not third parties.** 174,451 of RJIL's 360,382 network towers are owned by Summit Digitel Infrastructure Ltd (SDIL); fibre network dependency runs through Jio Digital Fibre Pvt Ltd

(JDFPL). Long-term agreements provide protection, but this is concentration risk within the promoter group, not diversified vendor risk.

- **Meaningful related-party dependency.** The Promoter holds 66.43% of pre-Issue equity, and RJIL has recurring transactions with Reliance Retail and joint venture Sanmina-SCI India for property, plant & equipment purchases (11.4% of cash capex in FY26 from the Promoter alone).
- **Regulatory intensity has already produced a real penalty.** TRAI issued 17 orders totalling ~₹271mm in financial disincentives against RJIL for alleged unsolicited-communication and quality-of-service lapses (April 2020–June 2024); RJIL has appealed to the TDSAT. It's a small number in isolation, but it's evidence the regulator will act, not just threaten to.
- **“Near-zero net debt” understates gross leverage.** Gross borrowings stood at ₹707,810mm as of FY26, offset by a large cash/investment cushion. Future capex-heavy phases (6G groundwork, fibre densification) could see gross borrowings rise again even with net debt low.
- **The multiple itself is the biggest risk in this trade.** Nothing above threatens the underlying business much. What can hurt an IPO investor is paying a 16-22x platform multiple for a company whose disclosed margins still look like a (very good) telecom operator's.

BOTTOM LINE

Jio Platforms is not a turnaround, a leveraged bet, or a story stock — it's a genuinely excellent, already-profitable, already-deleveraging business asking to be priced like the future rather than the present. That's a reasonable ask given the scale and the 5G/digital lead the DRHP documents in real, cited numbers. But “reasonable ask” and “fair price” are different things. Our own work says fair value sits close to $130bn (₹1,335/share); anything priced meaningfully above that is where an investor stops buying the balance sheet and starts buying the narrative. Watch the price band — it will tell you in one number which side of that line the syndicate decided to stand on.